

Set a calendar alert if the month ahead has a premium payment due for a medical, house, car or term plan, and move that much more money to take care of this additional spend.

Now, whatever is left in your Income Account, move it, in another thirty seconds (OK, at most thirty minutes!), to your Invest-it Account. For this system to work, you need to be using online banking and online investing tools. Getting your money online is a key to hands-free money management. Spend some time getting the online life right, so that when it is done, the system is smooth and friction-free.

Remember what the goal is: to have a hands-free money life. Remember what we're doing right now is about creating a system so that, once it is in place, you can execute your monthly money moves in thirty seconds.

When I began doing this, it took me a long time to streamline my financial life so that it fell into these neat buckets. We have joint accounts with all kinds of family members, and getting everybody to buy into your system at home is an exercise. Begin with yourself and, if your partner is not helping, create your own system first. You and your spouse must have your individual Income Accounts. The Spend-it Account is a joint account into which both credit equal amounts for the monthly spending.

Each partner has his and her Invest-it Account in different banks. These can be joint, but the primary holder should ideally be the person in whose name the investment will happen. Don't do anything else. Don't think about investing. Just get these three accounts in place. Once they are, start the exercise of moving money out on the day your salary hits the Income Account.

Remember, we're not investing yet – so the money in your Invest-it Account is just sitting there. That's fine. We have to make a plan for the next fifty to eighty years ahead – what is three months of practice? For three months watch your own spending pattern – is the money you thought you needed enough? Too little? Too much? Whatever your situation, you'll get a grip on how much you spend each month by watching how much you move to your Spend-it Account at the beginning of the month. I'd leave a bit extra in the Income Account in the first three months to see how much I need in my